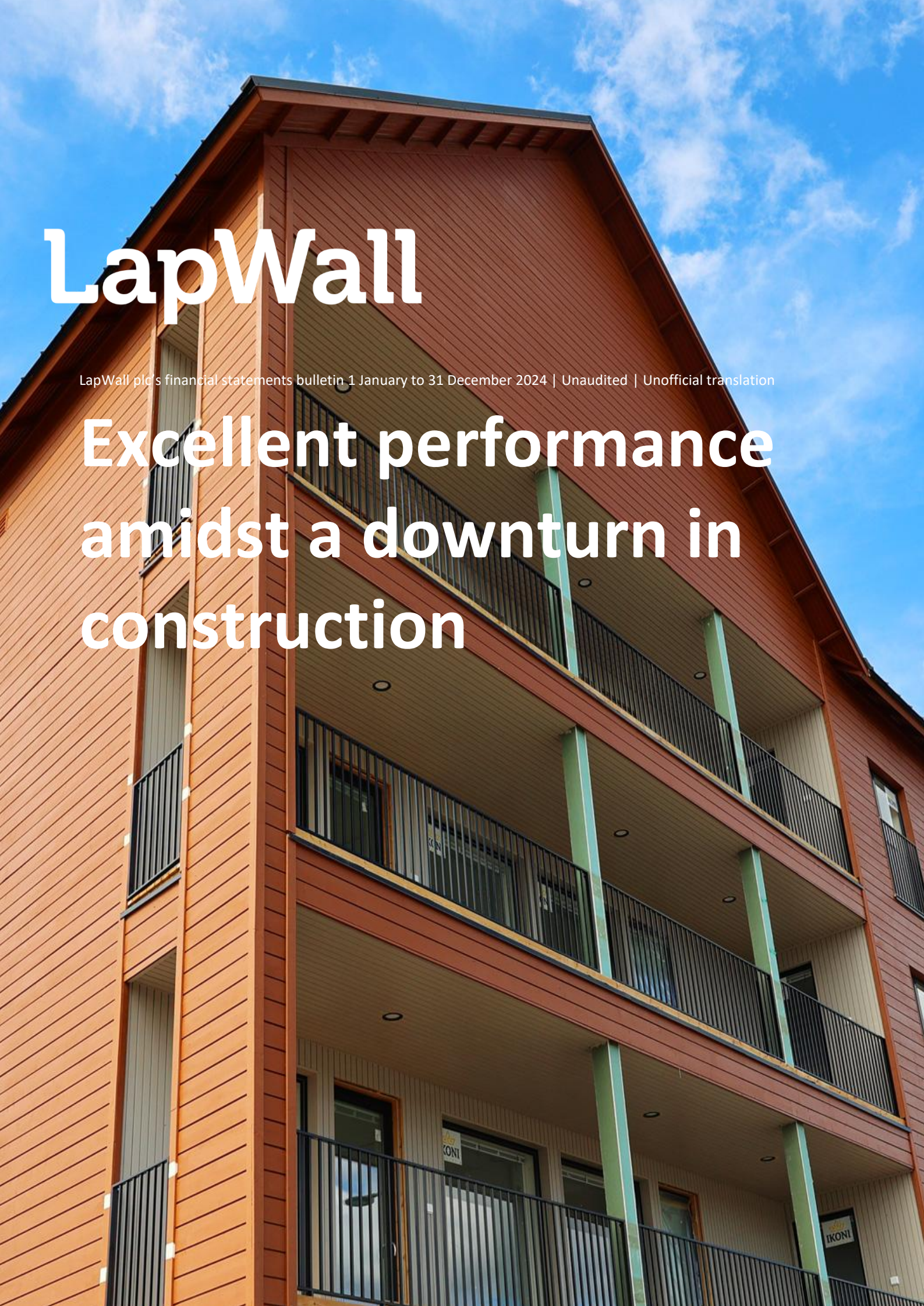




# LapWall

LapWall plc's financial statements bulletin 1 January to 31 December 2024 | Unaudited | Unofficial translation

## Excellent performance amidst a downturn in construction



6 February 2025 at 9 am

LapWall plc's financial statements bulletin 1 January to 31 December 2024, unaudited

## Excellent performance amidst a downturn in construction

The figures in brackets refer to the corresponding period of the previous year, unless otherwise stated.

### JULY–DECEMBER 2024 IN BRIEF AND KEY EVENTS

- Net sales were EUR 22,165 (23,015) thousand, with a change of -4%.
- The operating profit before the amortisation of goodwill (EBITA) was EUR 2,954 (2,023) thousand, with a change of 46%.
- The operating profit (EBIT) was EUR 2,510 (1,577) thousand, with a change of 59%.

### JANUARY–DECEMBER 2024 IN BRIEF AND KEY EVENTS

- Net sales were EUR 43,290 (41,873) thousand, with a change of 3%.
- The operating profit before the amortisation of goodwill (EBITA) was EUR 5,084 (3,951) thousand, with a change of 29%.
- The operating profit (EBIT) was EUR 4,194 (3,229) thousand, with a change of 30%.
- Earnings per share were EUR 0.24 (0.18).
- On 7 March 2024, the company's Board of Directors decided on the most extensive investment in LapWall's history and started a parts manufacturing and element factory construction project in Pyhäntä.
- When completed in late autumn 2025, the factory investment will enable the Pyhäntä unit to triple its net sales and will lay the foundation for achieving the company's EUR 100 million net sales target by the end of the 2025–2030 strategy period.
- The company's Board of Directors proposes to the Annual General Meeting to be held on 18 March 2025 that a dividend of EUR 0.18 per share be paid for the financial year.

### KEY FIGURES

(EUR 1,000 unless otherwise stated)

|                                                              | 10–12/2024 | 10–12/2023 | Change, % |
|--------------------------------------------------------------|------------|------------|-----------|
| Net sales                                                    | 10,483     | 12,089     | -13.3     |
| EBITDA                                                       | 1,600      | 1,345      | 19.0      |
| % of net sales                                               | 15.3       | 11.1       |           |
| Operating profit before the amortisation of goodwill (EBITA) | 1,287      | 1,016      | 26.7      |
| % of net sales                                               | 12.3       | 8.4        |           |
| Operating profit (EBIT)                                      | 1,065      | 793        | 34.3      |
| % of net sales                                               | 10.2       | 6.6        |           |
| Profit for the period                                        | 846        | 594        | 42.4      |

|                                                              | 7–12/2024 | 7–12/2023 | Change, % |
|--------------------------------------------------------------|-----------|-----------|-----------|
| Net sales                                                    | 22,165    | 23,015    | -3.7      |
| EBITDA                                                       | 3,582     | 2,681     | 33.6      |
| % of net sales                                               | 16.2      | 11.6      |           |
| Operating profit before the amortisation of goodwill (EBITA) | 2,954     | 2,023     | 46.0      |
| % of net sales                                               | 13.3      | 8.8       |           |

|                         |       |       |      |
|-------------------------|-------|-------|------|
| Operating profit (EBIT) | 2,510 | 1,577 | 59.2 |
| <i>% of net sales</i>   | 11.3  | 6.9   |      |
| Profit for the period   | 2,032 | 1,213 | 67.5 |
| Earnings per share, EUR | 0.14  | 0.08  |      |

|                                                              | 1–12/2024 | 1–12/2023 | Change, % |
|--------------------------------------------------------------|-----------|-----------|-----------|
| Net sales                                                    | 43,290    | 41,873    | 3.4       |
| EBITDA                                                       | 6,361     | 5,263     | 20.9      |
| <i>% of net sales</i>                                        | 14.7      | 12.6      |           |
| Operating profit before the amortisation of goodwill (EBITA) | 5,084     | 3,951     | 28.7      |
| <i>% of net sales</i>                                        | 11.7      | 9.4       |           |
| Operating profit (EBIT)                                      | 4,194     | 3,229     | 29.9      |
| <i>% of net sales</i>                                        | 9.7       | 7.7       |           |
| Profit for the period                                        | 3,464     | 2,557     | 35.5      |
| Earnings per share, EUR                                      | 0.24      | 0.18      |           |
| Equity ratio, %                                              | 60.0      | 64.2      |           |
| Net gearing, %                                               | 14.6      | -18.0     |           |
| Return on equity, %                                          | 19.7      | 15.7      |           |
| Order backlog                                                | 12,325    | 17,098    | -27.9     |
| Number of employees at the end of the review period          | 113       | 115       | -1.7      |

## CEO JARMO PEKKARINEN:

2024 was a good year for LapWall, although the deep downturn in construction continued and residential construction did not resume growth as expected in the second half of the year. LapWall's net sales grew moderately, but its operating profit before the amortisation of goodwill increased significantly. Net sales in January–December amounted to EUR 43.3 million, with an increase of 3.4% from the previous year. The operating profit before the amortisation of goodwill (EBITA) was EUR 5.1 million, which represents an increase of almost 29% compared with the previous financial year. Net sales in the fourth quarter were EUR 10.5 million, with a decrease of around 13%, but the operating profit before the amortisation of goodwill (EBITA) increased by around 27% year-on-year.

At LapWall, the demand for roof elements was at a very good level at the beginning of the year but decreased slightly in the second half of the year. In the wall element business, on the other hand, more volume was obtained for the second half of the year, and the factory's operating rate could be increased. On the whole, operations were enhanced, and the sales margin improved slightly from the previous year. Strict fixed cost control and the higher volume significantly improved the operating profit, resulting in an increase of more than EUR 1 million in the operating profit before the amortisation of goodwill.

Our offer base has continued to grow at LapWall and is now at a high level, at around EUR 65.5 million. At the end of 2024, several decisions to start projects were delayed and postponed until 2025. At the end of the year, our order backlog amounted to EUR 12.3 million, and our factories are not currently operating at full capacity. The outlook for the early part of the year is similar to that for last year, so looking at the whole year, the outlook is positive.

It is our view that the lowest point in construction activity has been reached. In the construction industry, it is generally estimated that the declining interest rate level and the recovery of the economic situation will support the growth of construction. Construction as a whole is expected to start picking up during the second quarter of the year. The growth in construction is driven by industrial and public construction. Residential construction and business premises construction are expected to pick up a little later. In particular, the number of building permits issued for

residential construction is very low, which indicates that residential construction will not start to grow in the coming months.

The demand for LapWall elements has increased even during the downturn in construction, and we expect growth to continue as construction picks up. Genuine customer value is a strong and practical growth factor, and a great source of pride for us. Customer value is based, for example, on the efficiency and savings generated by roof, wall and facade element solutions, which materialise in the form of a shorter construction site phase, the elimination of the need for weather protection, and high-quality and rapid installation work. These factors directly support the profitability of our customers' operations, not to mention the impact of the use of wood elements on the carbon footprint of construction. All of this creates a permanent competitive advantage.

LapWall has invested significantly in building its future. At the beginning of 2024, the company made the largest investment decision in its history to build a new assembly and parts manufacturing plant at the Pyhäntä unit. The factory expansion will be completed for production use in the second half of 2025. The unit's net sales are estimated to triple when the expansion is operating at full capacity. The expansion will create around 50 new jobs in the Pyhäntä area, which will make LapWall an even more significant employer in the area.

We recently announced our new strategy for 2025–2030 and announced a net sales target of more than EUR 100 million by the end of the strategy period. At the same time, we are seeking a significant improvement in the profitability of our operations. With the Pyhäntä investment, LapWall has all the prerequisites to achieve this growth target. The use of automation and artificial intelligence enables significant improvement in cost efficiency. We will respond effectively to the needs of growing construction in residential, business premises, public and industrial construction projects.

The focus of our updated strategy is on strong growth and the actions to enable this. Sales, optimal procurement and production, the use of digitalisation and automation, product development and product standards, as well as skilled personnel, are our key success factors. It is particularly important that every LapWall employee recognises the importance of their work for the growth and success of the company and can commit to our common goals.

2025 looks to be a year of growth for construction. LapWall continues to work enthusiastically to achieve its growth targets: the growth season following the downturn is just about to begin.

## **STRATEGY 2025–2030**

There is a need for more productive, cost-effective and sustainable construction in the construction market. Industrially manufactured element solutions provide a competitive, sustainable solution for construction in terms of life cycle costs and lead times. The key objective of LapWall's strategy is to strengthen the company's position as a pioneer in element construction and as the most highly respected operator in the industry.

LapWall is aiming for significant organic growth in the new strategy period. The company's goal is to achieve net sales of around EUR 100 million by the end of 2030. The net sales target will be achieved mainly through organic growth. LapWall aims to maintain strong profitability. In the new strategy period, the target is to increase the operating profit margin before the amortisation of goodwill (EBITA) to 15–20%. The company's updated target is to distribute a dividend of 50–75% (previously 30–50%) of the profit for the financial year, taking the company's financial position into account.

The company has laid the foundation for achieving the growth target by investing heavily in increasing the volume of its production. LapWall will build a new factory in the Pyhäntä unit, which will enable the unit to triple its net sales. Production in the new factory will start at the end of 2025 and will gradually move to full capacity.

The focuses for LapWall's 2025–2030 strategy period include sales development, product portfolio and standards development and enhancing the efficiency of planning, production and administration by means of automation and

artificial intelligence, which will be reflected in improved relative profitability. The company invests heavily in the development of procurement, the use of materials and operational efficiency. Important success factors also include the well-being and motivation of LapWall's personnel, whose competence development is also a focus area for the strategy period. The company is also investing in the development of communications as a whole.

## MISSION

Sustainable element construction for the benefit of our customers and the environment

## VISION 2030

We are a pioneer in element construction, the most highly respected operator in the industry and the most sought-after workplace.

## FINANCIAL GUIDANCE

The company aims to provide its financial guidance for 2025 in connection with the first-quarter business review on 29 April 2025.

## FINANCIAL PERFORMANCE 1 January to 31 December 2024

### *Net sales, profitability and profit*

LapWall plc's net sales in the review period were EUR 43,290 (41,873) thousand. The change in net sales was 3.4% from the previous financial year. Net sales developed particularly favourably for roof elements, both for the roof elements for hall-like buildings delivered by the Pälkäne and Veteli units and for the roof element system products provided by the Pyhäntä unit. In roof element system products, net sales grew significantly year-on-year. Net sales in wall elements were lower in the 2024 financial year than in 2023. This was because of the low volumes of residential construction in the Finnish market, as well as the continued tight price level and competitive situation amidst low construction activity.

LapWall's operating profit before the amortisation goodwill (EBITA) was EUR 5,084 (3,951) thousand, or 11.7% (9.4) of net sales. The change was 28.7% compared with the previous year. The company's reported operating profit was EUR 4,194 (3,229) thousand, or 9.7% (7.7) of net sales.

The company's profit for the financial year was EUR 3,464 (2,557) thousand, or EUR 0.24 (0.18) per share.

### *Balance sheet, financing and cash flow*

LapWall plc's balance sheet total on 31 December 2024 was EUR 31,664 (27,104) thousand. The company's cash and cash equivalents on 31 December 2024 were EUR 3,662 (4,388) thousand.

The company's equity ratio decreased slightly and was 60.0% (64.2) on 31 December 2024. Its net gearing increased and was 14.6% (-18.0) at the end of the financial year. The amount of interest-bearing liabilities increased to EUR 6,336 (1,376) thousand as a result of the Pyhäntä growth investment.

Cash flow from operating activities for the financial year was EUR 4,274 (4,158) thousand. Cash flow from the company's investments was EUR -8,072 (-4,998) thousand as a result of the Pyhäntä growth investment. Cash flow from financing activities was EUR 3,072 (-2,621) thousand, consisting of the Pyhäntä growth investment loan, loan instalments paid during 2024 and dividend distribution.

## OPERATING ENVIRONMENT AND THE MARKET

In the construction industry, it is estimated that construction will turn to slight growth in 2025. The decline in inflation and the decrease in interest rates are estimated to stimulate construction, especially in terms of public, industrial and business premises construction.

Consumer confidence at the end of December 2024 had improved from the year before, but was still at a low level, which is reflected in intentions to buy a home. The growth in residential construction is estimated to start later than

that in other construction, as unsold housing stock is available on the market. The number of building permits issued for residential construction remains low.

LapWall estimates that wood construction and the use of wooden elements manufactured by the company will increase significantly in the coming years. According to the company's management, the growth of wood construction is supported by tighter construction regulation and environmental targets in particular, as well as by the increasing use of prefabricated construction solutions.

The Construction Act, which entered into force in January 2025, guides construction to be low-carbon and to take into account the adverse and positive climate impacts throughout the life cycle of a building, while traditionally the focus has been on the energy efficiency of the building during its use. This change is estimated to increase interest in wood construction. On the other hand, attention is also paid, for example, to the generation of construction waste and its prevention, which can be effectively affected by using elements produced in factory conditions that are resource-wise.

### *LapWall's market position*

LapWall is the leading wooden element manufacturer in Finland and has the most comprehensive product portfolio among element manufacturers. LapWall's products can be used extensively in industrial, public, business premises and residential construction. By using building element solutions, the customer speeds up the lead time of their construction site and ensures accurately dimensioned elements, as well as a solid dry chain, which improves the quality of construction as a whole.

According to our estimate, the potential total market for wooden elements in Finland is around EUR 400 million in the normal situation of the construction and especially residential construction market, with an annual production volume of around 35,000 units. This is based on the potential total annual volume (production volumes, m<sup>2</sup>) of the different product groups in the industry as a whole, as well as on the estimated average prices of the different product groups.

## **PERSONNEL AND THE MANAGEMENT**

Jarmo Pekkarinen serves as the company's CEO. On 31 December 2024, the company's management team consisted of Tuomo Riihonen, CFO, Marko Kellberg and Kari Viljamaa, Business Directors, and Sanna Räsänen, HR and Communications Director, as of 1 December 2024. Sanna Vappula, HR and Marketing Manager, was a member of the management team until 30 November 2024.

The average number of employees during the financial year was 112. The number of employees at the end of the financial year was 113.

### *Board of Directors and audit*

The company's Board of Directors consists of Heikki Ojala (Chair of the Board), Jussi Karjula (Vice Chair), Elina Rahkonen, Timo Pekkarinen and Eero Poukkula.

The auditor is the auditing firm KPMG Oy Ab, with Antti Kääriäinen (Authorised Public Accountant) as the responsible auditor.

## **SHARES AND SHAREHOLDERS**

LapWall plc's fully paid up share capital in the Trade Register on 31 December 2024 was EUR 100,000. The number of shares was 14,525,518.

The number of shares both at the beginning of the financial year on 1 January 2024 and at the end of the financial year on 31 December 2024 was 14,525,518. In the previous financial year, a share issue was directed to KW-Component Oy on 29 June 2023 and 299,796 new shares were registered as part of the KW-Component business transaction carried out by LapWall.

The company has one class of shares. All shares carry the same voting rights and the right to dividends and the company's assets. At the end of the financial year, the company had 4,146 (3,555) shareholders.

At the end of the financial year, the company's share capital was EUR 100,000. The company held no treasury shares at the end of the financial year.

#### *Trading in LapWall shares*

LapWall Corporation's shares were traded on the Nasdaq Helsinki First North Growth Market from 1 January to 31 December 2024 for a total of EUR 8.42 million, which corresponded to 2.57 million shares and 17.72% of the total number of shares. The highest trading price was EUR 4.39 and the lowest EUR 2.80. The closing price at the end of the financial year was EUR 3.98, and the average price for the financial year was EUR 3.27. LapWall plc's market capitalisation on 31 December 2024 was EUR 57.8 million.

## **KEY DECISIONS OF THE ANNUAL GENERAL MEETING**

The Annual General Meeting approved the financial statements for the financial period from 1 January to 31 December 2023 and decided to distribute a dividend of EUR 0.13 per share, payable on 21 March 2024.

At the Annual General Meeting, Heikki Ojala, Elina Rahkonen, Eero Poukkula, Timo Pekkarinen and Jussi Karjula were elected to the Board of Directors. In accordance with the proposal of the Shareholders' Nomination Board, Heikki Ojala was elected Chair of the Board and Jussi Karjula was elected Vice Chair.

The Annual General Meeting decided that the Chair of the Board will be paid EUR 36,000 and the members EUR 20,000 for the term of office. It was decided that the auditor's fee be paid on the basis of an invoice approved by the company. It was decided that the auditing firm KPMG Oy Ab, with Antti Kääriäinen (Authorised Public Accountant) as the responsible auditor, continues as the auditor.

## **VALID AUTHORISATIONS**

The Annual General Meeting decided, in accordance with the proposal of the Board of Directors, to authorise the Board of Directors to decide on the issue of a maximum of 1,400,000 shares (around 10% of the total number of shares) by means of a share issue or the issue of special rights entitling their holders to shares (including option rights) in accordance with chapter 10, section 1 of the Limited Liability Companies Act in one or more instalments.

The authorisation may be used to finance and implement possible acquisitions or other arrangements, to implement the company's share-based incentive schemes, or for other purposes determined by the Board of Directors.

The authorisation includes the right for the Board of Directors to decide on all the terms and conditions of the share issue and the issue of special rights, including the recipients of the shares or special rights and the amount of the consideration to be paid. The authorisation also includes the right to issue shares in deviation from shareholders' pre-emptive rights; that is, in a directed manner. The authorisation of the Board of Directors covers both the issue of new shares and the transfer of any treasury shares.

The authorisation is valid until the end of the Annual General Meeting to be held in 2025, but no later than 30 June 2025. This authorisation revokes the earlier authorisations granted by the general meetings for the issue of shares and special rights entitling their holders to shares.

## **SHARE-BASED INCENTIVE SCHEMES**

On 21 April 2023, the company's Board of Directors decided on the establishment of a new share-based incentive scheme. The aim of the scheme is to align the objectives of the company and its shareholders and key persons to increase the value of the company in the long term, to commit the key persons to the company and to offer them a competitive remuneration system based on earning and accumulating the company's shares and on the increase in the value of the share.

The share-based incentive scheme has one three-year performance period, covering the 2023–2025 calendar years. The performance period is followed by a one-year commitment period. The earnings criterion of the system is the development of the company's shareholder value during 2023–2025. The rewards to be paid based on the scheme correspond to a maximum of 218,000 shares in the company, which is around 1.5% of the company's current total number of shares.

The rewards under the share-based incentive scheme are paid partly in LapWall plc shares and partly in cash. The cash portions of the rewards are intended to cover the taxes and tax-like payments arising from the rewards paid to the participants. As a rule, a scheme participant is not entitled to a reward if their employment or managerial contract expires during the performance period or commitment period.

The amount of rewards to be paid based on the schemes will be reduced if the maximum amounts set by the Board of Directors for the rewards to be paid for the 2023–2025 performance period are reached.

A member of the company's management team must own at least 50% of the net shares paid to them under the scheme until the total value of their shareholding in the company equals half of the value of their annual salary. Correspondingly, the CEO must own at least 50% of the net shares paid to them under the scheme until the total value of their shareholding in the company corresponds to the value of their annual salary.

## **RISKS AND UNCERTAINTIES**

Risk management operating models are maintained and developed based on the risk assessments carried out. Towards the end of 2024, LapWall started the work to build a more systematic risk management framework, with the aim of also identifying risks related to the environment and sustainability. The company's risk management measures are approved by its Board of Directors.

LapWall's key risks are divided into strategic, operational and financial risks. Operational and strategic risks are related to the uncertainty of the market situation and the global economy in particular, which may have an adverse impact on the company.

The continued uncertain security situation in Europe and the Middle East may have direct and indirect impacts on business operations through possible problems with the availability of certain raw materials and rising raw material prices, for example. The volatile security situation may also affect the confidence of financiers and consumers, which may slow down the recovery of residential construction. An increase in fuel and energy prices may affect LapWall's business operations and results. The company hedges against fluctuations in the price of electricity by means of long-term electricity procurement contracts.

The company's possible failure to implement its strategy may weaken its growth and profitability. The risks are mainly related to possible acquisitions in accordance with the growth strategy and the integration of the acquirees, as well as the successful completion of the large-scale investment project at the Pyhäntä unit. In addition, the company identifies risks related to personnel and recruitment. The operations of the company's production plants also include occupational and fire safety risks, which are minimised through occupational health and safety activities and the development of a safety culture.

Financial risks relate in particular to changes in the macroeconomic environment. The overall situation in the financial markets is more volatile, and the rise in interest rates has had a negative impact on the availability and price of financing and on other conditions, affecting construction companies and developers.

The company has protected the continuity of its operations through comprehensive property and operational liability insurance, among other means.



## **PROPOSED DIVIDEND**

The company's Board of Directors proposes to the Annual General Meeting on 18 March 2025 that the profit for the financial year be transferred to the profit/loss account of previous financial years and that a dividend of EUR 0.18 per share be paid for the financial year. The amount of the dividend to be proposed with the number of shares on the balance sheet date (14,525,518 shares) is EUR 2,614,593, which is around 75% of the profit for the financial year.

The dividend proposal is in line with the target level of the company's revised profit distribution policy announced on 5 February 2025 (50–75% of the profit for the financial year). The Board of Directors also proposes dividend distribution in two equal instalments: the first instalment after the Annual General Meeting, and the second instalment in the second half of the year.

## KEY EVENTS DURING THE FINANCIAL YEAR

On 12 March 2024, LapWall plc's Annual General Meeting was held, at which a new Board of Directors was elected for the company: Jussi Karjula, Heikki Ojala, Timo Pekkarinen, Eero Poukkula and Elina Rahkonen. In accordance with the proposal of the Shareholders' Nomination Board, Heikki Ojala was elected Chair of the Board. At its inaugural meeting, the new Board of Directors elected Eero Poukkula as a member of the Audit Committee and Elina Rahkonen as Chair.

On 29 April 2024, the company issued financial guidance for 2024. The company estimates that its net sales in 2024 will be EUR 43–48 million and its operating profit before the amortisation of goodwill (EBITA) EUR 4.3–4.8 million.

On 8 May 2024, the company announced that it had terminated the market making agreement with Lago Kapital Oy, and that the market making period for the share would end on 31 July 2024. The company estimates that the liquidity of the share is sufficient without market making.

On 24 October 2024, the company updated its financial guidance issued on 29 April 2024 because of the improved profitability of its business operations. The company estimates that its net sales in 2024 will be EUR 43.0–44.5 million and its operating profit before the amortisation of goodwill (EBITA) EUR 4.9–5.2 million.

On 28 October 2024, the company published its financial communication schedule for 2025. The schedule was further specified in terms of the Annual General Meeting on 20 December 2024, when the Annual General Meeting was moved to 18 March 2025 from its original date of 12 March 2025.

On 31 October 2024, the company announced a change in its management team, when Sanna Räsänen was appointed HR and Communications Director and a member of the company's management team as of 1 December 2024. At the same time, Sanna Vappula left the company's management team.

## KEY EVENTS AFTER THE FINANCIAL YEAR

On 5 February 2025, the company's Board of Directors approved an updated strategy for LapWall for 2025–2030. The key target for the strategy period is to increase the company's net sales to EUR 100 million and EBITA by 15–20% by the end of 2030.

## FINANCIAL COMMUNICATION IN 2025

|                                       |                                                                                     |
|---------------------------------------|-------------------------------------------------------------------------------------|
| Around the week beginning 10 February | Financial statements and the Board of Directors' report for the 2024 financial year |
| 18 March 2025                         | Annual General Meeting                                                              |
| 29 April 2025                         | Business review January–March 2025                                                  |
| 7 August 2025                         | Half-year review January–June 2025                                                  |
| 28 October 2025                       | Business Review January–September 2025                                              |

The company will publish a free-form sustainability and annual review later in the spring.

### Pyhäntä, 6 February 2025

LapWall plc  
Board of Directors

### Further information:

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tuomo.riihonen@lapwall.fi

**Approved advisor:**

Sisu Partners Oy, tel. +358 40 555 4727

**PRESS CONFERENCE on 6 February 2025 at 10 am**

LapWall's CEO Jarmo Pekkariinen and CFO Tuomo Riihonen will present the 2024 results and other topical matters at a press conference for analysts, investors and the media on 6 February 2025 from 10 am to 11 am.

<https://lapwall.events.indes.com/q4-2024>

## ACCOUNTING PRINCIPLES AND CALCULATION FORMULAS FOR KEY FIGURES

The figures in the 2024 financial statements bulletin are unaudited and have been prepared in accordance with national legislation (FAS). The calculation formulas for key figures are presented at the end of this report.

The figures in the review are presented in thousands of euros and are rounded off from the exact figures. In the CEO's review section, the figures have also been presented in millions of euros.

### CALCULATION FORMULAS FOR KEY FIGURES

| Key figure                                                         | Calculation formula                                                                                                                    |
|--------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| EBITDA                                                             | Net sales + other operating income – materials and services – personnel costs – other operating expenses                               |
| EBITDA, % of net sales (EBITDA, %)                                 | EBITDA / net sales x 100%                                                                                                              |
| Operating profit before the amortisation of goodwill (EBITA)       | Operating profit + amortisation of goodwill                                                                                            |
| Operating profit before the amortisation of goodwill, % (EBITA, %) | Operating profit before the amortisation of goodwill / net sales x 100%                                                                |
| Operating profit (EBIT)                                            | Net sales + other operating income – materials and services – personnel costs – other operating expenses – depreciation and impairment |
| Operating profit, %                                                | Operating profit / net sales x 100%                                                                                                    |
| Earnings per share, EUR                                            | Profit/loss for the financial year / number of shares at the end of the financial year                                                 |
| Equity ratio, %                                                    | Equity / (balance sheet total – advances received) x 100%                                                                              |
| Net gearing, %                                                     | Net debt divided by equity x 100%                                                                                                      |
| Return on equity, %                                                | Profit/loss for the financial year / 12 * length of the period / equity on average x 100%                                              |



## **FINANCIAL STATEMENTS BULLETIN, TABLES SECTION 1 January to 31 December 2024**

### **INCOME STATEMENT**

| EUR 1,000                                              | LapWall plc<br>7–12/2024 | LapWall plc<br>7–12/2023 | LapWall plc<br>1–12/2024 | LapWall plc<br>1–12/2023 |
|--------------------------------------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| <b>NET SALES</b>                                       | <b>22,165</b>            | <b>23,015</b>            | <b>43,290</b>            | <b>41,873</b>            |
| Change in stock of finished goods and work in progress |                          | 6                        | -6                       | 6                        |
| Other operating income                                 | 65                       | 58                       | 137                      | 150                      |
| Purchases during the period                            | -8,069                   | -9,111                   | -17,487                  | -16,671                  |
| Change in inventory                                    | -388                     | -183                     | 372                      | -130                     |
| External services                                      | -4,452                   | -4,136                   | -8,539                   | -7,400                   |
| Personnel expenses                                     | -3,315                   | -4,122                   | -6,652                   | -7,470                   |
| Depreciation and impairment                            | -1,073                   | -1,104                   | -2,167                   | -2,034                   |
| Other operating expenses                               | -2,425                   | -2,845                   | -4,754                   | -5,095                   |
| <b>OPERATING PROFIT</b>                                | <b>2,510</b>             | <b>1,577</b>             | <b>4,194</b>             | <b>3,229</b>             |
| Financial income and expenses                          | 10                       | -31                      | -15                      | -28                      |
| <b>PROFIT BEFORE APPROPRIATIONS AND TAXES</b>          | <b>2,520</b>             | <b>1,546</b>             | <b>4,179</b>             | <b>3,201</b>             |
| Appropriations                                         | 20                       | -26                      | 152                      | -1                       |
| Income taxes                                           | -508                     | -307                     | -867                     | -643                     |
| <b>PROFIT FOR THE PERIOD</b>                           | <b>2,032</b>             | <b>1,213</b>             | <b>3,464</b>             | <b>2,557</b>             |

## BALANCE SHEET

EUR 1,000

|                                            | LapWall plc<br>31 Dec 2024 | LapWall plc<br>31 Dec 2023 |
|--------------------------------------------|----------------------------|----------------------------|
| <b>Non-current assets</b>                  |                            |                            |
| Development expenses                       | 45                         |                            |
| Intangible rights                          | 18                         | 31                         |
| Goodwill                                   | 4,821                      | 5,710                      |
| Other intangible assets                    | 461                        | 350                        |
| Advance payments                           | 173                        | 41                         |
| <b>Intangible assets total</b>             | <b>5,518</b>               | <b>6,131</b>               |
| Land and water areas                       | 457                        | 457                        |
| Buildings and structures                   | 5,790                      | 6,045                      |
| Machinery and equipment                    | 1,542                      | 2,128                      |
| Other tangible assets                      | 292                        | 246                        |
| Advance payments                           | 7,294                      | 5                          |
| <b>Tangible assets total</b>               | <b>15,375</b>              | <b>8,881</b>               |
| Other shares and interests                 | 32                         | 32                         |
| <b>Investments total</b>                   | <b>32</b>                  | <b>32</b>                  |
| <b>NON-CURRENT ASSETS TOTAL</b>            | <b>20,925</b>              | <b>15,044</b>              |
| <b>Current assets</b>                      |                            |                            |
| Inventories                                | 3,461                      | 3,095                      |
| Other long-term receivables                | 10                         | 10                         |
| Trade receivables                          | 2,068                      | 2,832                      |
| Other receivables                          | 486                        | 457                        |
| Accrued income                             | 1,052                      | 1,277                      |
| Cash at bank and in hand                   | 3,662                      | 4,388                      |
| <b>CURRENT ASSETS TOTAL</b>                | <b>10,739</b>              | <b>12,059</b>              |
| <b>TOTAL ASSETS</b>                        | <b>31,664</b>              | <b>27,104</b>              |
|                                            | <b>31 Dec 2024</b>         | <b>31 Dec 2023</b>         |
| <b>Equity</b>                              |                            |                            |
| Share capital                              | 100                        | 100                        |
| Invested unrestricted equity fund          | 11,979                     | 11,979                     |
| Profit (loss) for previous financial years | 2,797                      | 2,128                      |
| Profit (loss) for the period               | 3,464                      | 2,557                      |
| <b>TOTAL EQUITY</b>                        | <b>18,340</b>              | <b>16,764</b>              |

|                                              |               |               |
|----------------------------------------------|---------------|---------------|
| <b>Accumulated appropriations</b>            |               |               |
| Depreciation difference                      | 338           | 490           |
| <b>ACCUMULATED APPROPRIATIONS</b>            | <b>338</b>    | <b>490</b>    |
| <b>Debt</b>                                  |               |               |
| Long-term loans from financial institutions  | 5,832         | 435           |
| Short-term loans from financial institutions | 504           | 941           |
| Advances received                            | 1,076         | 972           |
| Trade payables                               | 3,229         | 5,297         |
| Other liabilities                            | 265           | 263           |
| Accruals and deferred income                 | 2,079         | 1,942         |
| <b>TOTAL DEBT</b>                            | <b>12,986</b> | <b>9,850</b>  |
| <b>TOTAL LIABILITIES</b>                     | <b>31,664</b> | <b>27,104</b> |

## STATEMENT OF CHANGES IN EQUITY

| EUR 1,000                                                            | LapWall plc<br>31 Dec 2024 | LapWall plc<br>31 Dec 2023 |
|----------------------------------------------------------------------|----------------------------|----------------------------|
| <b>Capital employed</b>                                              |                            |                            |
| Share capital                                                        | 100                        | 100                        |
| <b>Restricted equity at the end of the period</b>                    | <b>100</b>                 | <b>100</b>                 |
| <b>Unrestricted equity</b>                                           |                            |                            |
| Invested unrestricted equity fund at the beginning of the period     | 11,979                     | 10,929                     |
| Change in the invested unrestricted equity fund                      |                            | 1,050                      |
| <b>Invested unrestricted equity fund at the end of the period</b>    | <b>11,979</b>              | <b>11,979</b>              |
| Profit from previous financial years at the beginning of the period  | 2,128                      | -633                       |
| Profit for the previous period                                       | 2,557                      | 5,464                      |
| Dividend distribution                                                | -1,888                     | -2,703                     |
| <b>Profit from previous financial years at the end of the period</b> | <b>2,797</b>               | <b>2,128</b>               |
| <b>Profit for the financial year</b>                                 | <b>3,464</b>               | <b>2,557</b>               |
| <b>Unrestricted equity at the end of the period</b>                  | <b>18,240</b>              | <b>16,664</b>              |
| <b>TOTAL EQUITY</b>                                                  | <b>18,340</b>              | <b>16,764</b>              |

## CASH FLOW STATEMENT

| EUR 1,000                                                                | LapWall plc<br>7–12/2024 | LapWall plc<br>7–12/2023 | LapWall plc<br>1–12/2024 | LapWall plc<br>1–12/2023 |
|--------------------------------------------------------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| <b>Cash flow from operating activities:</b>                              |                          |                          |                          |                          |
| Profit (loss) before appropriations and taxes                            | 2,520                    | 1,546                    | 4,179                    | 3,201                    |
| Depreciation according to plan                                           | 1,073                    | 1,104                    | 2,167                    | 2,034                    |
| Financial income and expenses                                            | -10                      | 31                       | 15                       | 28                       |
| Other adjustments                                                        | -19                      |                          | 4                        |                          |
| Cash flow before change in working capital                               | 3,563                    | 2,681                    | 6,366                    | 5,263                    |
| <b>Change in working capital:</b>                                        |                          |                          |                          |                          |
| Increase (-)/decrease (+) in short-term business receivables             | 2,491                    | 233                      | 922                      | 504                      |
| Increase (-)/decrease (+) in inventories                                 | 388                      | 178                      | -367                     | 125                      |
| Increase (+)/decrease (-) in short-term non-interest bearing liabilities | -2,728                   | 1,704                    | -1,991                   | -845                     |
| Cash flow from operating activities before financial items and taxes     | 3,713                    | 4,796                    | 4,930                    | 5,047                    |
| Interest and fees paid for other operating financial expenses            | -35                      | -68                      | -99                      | -123                     |
| Financial income from operating activities                               | 45                       | 37                       | 83                       | 95                       |
| Direct taxes paid                                                        | -222                     | -525                     | -641                     | -861                     |
| <b>Cash flow from operating activities</b>                               | <b>3,501</b>             | <b>4,764</b>             | <b>4,274</b>             | <b>4,158</b>             |
| <b>Cash flow from investing activities:</b>                              |                          |                          |                          |                          |
| Investments in intangible and tangible assets                            | -9,248                   | -1,607                   | -9,903                   | -5,006                   |
| Proceeds from the disposal of tangible and intangible assets             | 8                        |                          | 52                       |                          |
| Repayments of loan receivables                                           |                          |                          |                          | 8                        |
| Investment support received                                              |                          |                          | 1,779                    |                          |
| <b>Cash flow from investing activities</b>                               | <b>-9,240</b>            | <b>-1,607</b>            | <b>-8,072</b>            | <b>-4,998</b>            |
| <b>Cash flow from financing activities:</b>                              |                          |                          |                          |                          |
| Paid-up capital increase                                                 |                          |                          |                          | 1,050                    |
| Withdrawals of long-term loans                                           | 5,500                    |                          | 5,945                    |                          |
| Repayments of long-term loans                                            | -198                     | -466                     | -985                     | -968                     |
| Dividends paid and other distribution of profit                          |                          |                          | -1,888                   | -2,703                   |
| <b>Cash flow from financing activities</b>                               | <b>5,302</b>             | <b>-466</b>              | <b>3,072</b>             | <b>-2,621</b>            |
| <b>Change in cash and cash equivalents</b>                               | <b>-437</b>              | <b>2,168</b>             | <b>-726</b>              | <b>-3,461</b>            |
| Cash and cash equivalents at the beginning of the period                 | 4,098                    | 2,220                    | 4,388                    | 7,849                    |
| <b>Cash and cash equivalents at the end of the period</b>                | <b>3,662</b>             | <b>4,388</b>             | <b>3,662</b>             | <b>4,388</b>             |

## LIABILITIES AND COLLATERAL PROVIDED

| EUR 1,000                                               | LapWall plc<br>31 Dec 2024 | LapWall plc<br>31 Dec 2023 |
|---------------------------------------------------------|----------------------------|----------------------------|
| <b>Loans from financial institutions</b>                |                            |                            |
| Financial loans                                         | 6,330                      | 1,284                      |
| Instalments                                             | 6                          | 92                         |
| Withdrawn credit facility                               |                            |                            |
| Issued facility                                         | 3,500                      | 3,000                      |
| Unused facility                                         | 3,500                      | 3,000                      |
| Credit card limit used                                  | 1                          | 5                          |
| Limit issued                                            | 15                         | 15                         |
| Unused limit                                            | 14                         | 10                         |
| <b>Collateral for loans from financial institutions</b> |                            |                            |
| Business mortgages                                      | 5,360                      | 5,360                      |
| Real estate mortgages                                   | 13,680                     | 5,400                      |
| <b>Total collateral</b>                                 | <b>19,040</b>              | <b>10,760</b>              |
| <b>Lease liabilities</b>                                |                            |                            |
| Termination lease liabilities                           | 1,541                      | 838                        |
| Security deposits on the balance sheet                  | 10                         | 10                         |
| <b>Leasing liabilities</b>                              |                            |                            |
| Due within the next 12 months                           | 189                        | 249                        |
| Due later                                               | 299                        | 320                        |
| <b>Total leasing liabilities</b>                        | <b>488</b>                 | <b>569</b>                 |
| <b>Residual value liability</b>                         | <b>28</b>                  | <b>68</b>                  |